



POOR RICH STATE:
Riches are contrasted
by poor state finances

Rs 34,160
is the per capita income of Punjab.

- Affluence is driven by private enterprise and investment.
- The state's debt is now Rs 53,000 crore, which entails an annual interest burden of Rs 4,500 crore.

Punjab's downslide has only been gathering pace since 2001. Agriculture, for long the engine of economy, has lost steam, growing at 2 per cent, while the industrial sector has been stuck at 4.2 per cent, having attracted less than 2 per cent of the country's industrial investment proposals. Even the tertiary sector has seen a stunted growth. Yet, the sunshine state scores high on prosperity and populism, a paradox bedeviling its fiscal health. The economy is being driven by private enterprise and investments. While the indices of consumerism and bank deposits continue to soar, Punjab would rank as the most benevolent state given a rash of freebies—from free power, house tax and sewerage charge waivers to cheap *atta-dal* for the poor. The doles tab leaves the precarious state exchequer poorer by Rs 4,000 crore every year. And, this, despite the state's debt stock ballooning to Rs 53,000 crore, which entails an annual interest burden of Rs 4,500 crore. Punjab has now been pushed into reckless borrowings to meet a spiralling revenue deficit and to fund the annual state Plan.

Nothing has bled Punjab more than competitive populism, which explains the poverty-of-prosperity syndrome afflicting it. An across-the-board affluence of people is contrasted by near-bankruptcy of state finances and poor social development indices. Since 1997, governments in Punjab have been more and more populist, a trend that has crowded out capital investment, robbing the state of its resources. While the stagnant agriculture sector is crying for investment to break the productivity logjam, not a single megawatt has been added to its power generation capacity in the last seven years despite a shortfall of 3,000 MW. Worse, its investment in the social sector has been declining and is below the national average.

Successive elections have shown that doles don't translate into votes. "Populism has turned even targeted sub-

dies into votebank-centric doles, which are not going into asset-building but are fuelling consumerism," says Pramod Kumar, director, Institute of Development and Communication, Chandigarh. The recently subsidised *atta* and *dal* at Rs 4 and Rs 20 per kg, respectively, has redefined the below-poverty line parameter by identifying roughly a third of Punjab's population as "poor". The doles and debt-related interest together eat up Rs 8,500 crore, every year, squeezing the state's annual Plan size to Rs 5,000 crore. "There is just no money left

for capital investment," rues Finance Secretary D.S. Kalha. Sukhbir Singh Badal has now embarked on new initiatives to woo private investors. But the dream projects will remain a pipedream unless the state takes hard decisions on sops—and governance.

PUDUCHERRY

Small State Big Strides

Despite the propensity for freebies the state has done well, thanks to the rush of big tag investments.

■ By Anand Natarajan

Talk of Puducherry and the first thing that comes to mind is Auroville and the sun-kissed beaches all around. But behind the sense of calm is a bustling industrial hub that has, yet again, catapulted the state to the top slot in the "small state" category. For a state known for its generosity in doling out freebies and subsidies, Puducherry has done remarkably well. Its relentless pursuit of growth-oriented schemes has resulted in a balanced development, with the state garnering a GDP of Rs 7,196.17 crore for 2005-06 and recording a per capita income of Rs 61,064.